Summing up

The first stumbling block in the policy process is posing the right question. When a policymaker wants large resources in order to run subsidy programmes, the right objective to pursue is *tax revenue* and not the *tax/GDP ratio*. The field of economic policy is littered with analytical fallacies that have set off entire policy communities in the wrong direction.

Jan Tinbergen's 'assignment principle' teaches us that one policy instrument can only be used for one objective. Monetary policy has only one instrument—the short-term interest rate—and can hence deliver only one objective, e.g., the targeted inflation rate. A great deal of policy confusion in India stems from placing multiple objectives upon policy initiatives.

Public choice theory predicts that officials will favour multiple objectives so as to avoid accountability. A publicly stated and clear objective, on each policy initiative, improves the policy process.